

MSETCL / CO / Trans (O&M) /

DATE:

Sub: - Asset retirement, Scrap Declaration and Disposal Policy for MSETCL.

Maharashtra State Electricity Transmission Company limited, a wholly owned corporate entity under the Maharashtra Government, was incorporated under the Companies Act, in June 2005 after restructuring the erstwhile Maharashtra State Electricity Board to transmit electricity from its point of Generation to its point of Distribution.

It owns and operates most of Maharashtra's Electric Power Transmission System. MSETCL operates a transmission network of 51518 Circuit KM of transmission lines and 742 EHV Substations with 138598 MVA transformation capacity. MSETCL has also established a 765 KV substation at Ektuni in Aurangabad district. This infrastructure constitutes most of the inter-regional as well as intra-regional electric power transmission system in the State. Today, MSETCL is the largest state transmission utility in the country.

The company also has the distinction of being the only power utility in the state sector to own HVDC lines. The Company operates a 1504 CKM long, 3582 MVA, 500 KV bi-polar HVDC line from Chandrapur to Padghe.

The MSETCL is maintaining the large and old transmission network in the state of Maharashtra. Due to old age of equipment, the performance is degraded and hence such equipment need to retire from the service before they cause any interruption in the power system. Also in day to day operation and maintenance activity the large amount of scrap gets accumulated, which need to be disposed-off periodically to generate the revenue to company and avoid loss due to theft etc.

Hence to do this the asset retirement, scrap declaration and disposal policy for MSETCL is prepared as below.

Asset Retirement Policy for MSETCL

1.0 INTRODUCTION

- 1.1 For a proper infusion of new technology, equipments and salvation of out of use materials and equipment, it is essential that an effective system to identify all assets and materials which have ceased to be useful to the organization, shall operate continuously, so that immediate follow up action is possible for their timely discarding and disposal to recover thereby maximum return from materials which would have been otherwise lost.
- 1.2 The assets and materials which require to be retired from service life may be broadly classified as under:

- i. Transmission Line & Sub-Station Materials, Machinery, Office furniture and equipment's which have served their useful life but still in active use.
 - ii. Transmission Line & Sub-Station Materials, Machinery, Office furniture and equipment's which have served their useful life removed from active use and required to be replaced due to requirement of technological advanced machinery and equipment.
 - iii. Transmission Line & Sub-Station Materials, Machinery, Office furniture and equipment's which are damaged, unserviceable or beyond economic repairs.
 - iv. Transmission Line & Sub-Station Materials, Machinery, Office furniture and equipment's which have become obsolete and whose retention has become uneconomical.
- 1.3 Before retiring the asset referred at sub Para (i) to (iv) above, it is essential to ensure that there is no possibility of any alternate economic use for the items within MSETCL. Once this fact is established, retirement action shall be initiated with all expediency in accordance with the procedure contained hereunder.
- 1.4 The asset base of MSETCL consists of Transmission Lines and Sub-stations which are having defined life as per the relevant regulation of the MS Electricity Regulatory Commission. The elements of transmission systems are continuous under electrical and mechanical stress and hence all elements are prone to mechanical and electrical faults during their life span. The preventive maintenance practices of the company mitigates the frequent breakdown of transmission elements/equipment's however the faults/failure cannot be ruled out due to extreme weather conditions/exposure and inherent defects, if any. The equipment's/material thus required to be replaced with new equipment's/materials for healthy operation of the transmission system. Also the equipment's which have completed their defined useful life, are required to be replaced and old system thus becomes out of use and shall be retired as per policy brought out in this document.
- 1.5 This procedure deals with retirement of only movable property of MSETCL referred in Para (i) to (iv) above.

2.0 GENERAL

2.1 The asset to be retired shall be categorized in the following categories.

CATEGORY A

(a): Transmission Line & Sub-Station Materials, Machinery, and vehicles which have served their useful life and still in use .

(b): Transmission Line & Sub-Station Materials, Machinery, and vehicles which have served their useful life and removed from active use.

CATEGORY B: Transmission Line& Sub-Station Materials, Machinery, and vehicles which have become obsolete and whose retention has become uneconomical.

CATEGORY C: Transmission Line& Sub-Station Materials, Machinery, and vehicles which are damaged, unserviceable or beyond economic repairs within its defined service life.

CATEGORY D: Miscellaneous asset including E-waste, packing boxes, empty containers, Office furniture & equipment's, discarded stationery, miscellaneous scrap items and unusable/out of date spares but having meagre salvage Value.

CATEGORY E: Deteriorated wood, packing material and such other material having no worth/salvage value and are recommended for disposal by using methods like destroying/disposing them as debris/garbage.

2.2 The Circle Level Asset Retirement Committee (CLARC) of following members is to be formed per Circle for approval of retirement of asset from MSETCL

- i) Superintending Engineer (O&M) Circle- Chairman
- ii) Executive Engineer, O&M of concern Division- Conveyer of the Committee
- iii) Executive Engineer, Testing of concern Division- Member
- iii) Manager (F&A) of concern Circle- Member

2.3 The Procedure for retirement of the assets shall be as follow:

2.3.1 The asset which is falling under Category A shall be identified by the asset owner.

a) For asset which is falling under Category A(a): The asset owner will prepare the 'Asset Assessment certificate' (Proforma – A) and submit the certificate to CLARC on half-yearly basis.

b) For asset which is falling under Category A(b): The asset owner will prepare the 'Asset Retirement Certificate' (Proforma – B) and submit the certificate to CLARC on quarterly basis.

c) CLARC shall ascertain/scrutinize the asset falling under Category A(a) for need to continue in service and will give concurrence to put in service to asset owner

2.3.2 The asset which is falling under Category A(b), B & C shall be identified by the asset owner.

a) The asset owner will prepare the 'Asset Retirement Certificate' (Proforma – B) and handover the asset with along this certificate to Executive Engineer (Store) for following scrapping procedure.

b) The asset which is falling under Category A(b), B and C, the asset owner will initiate for organizing the joint inspection of the items/materials through CLARC within the area of their jurisdiction & shall ensure for identification/declaration/certification for retirement of asset under Category A(b), B and C through the aforesaid Committee.

c) Further the CLARC will submit the report of retirement of asset shall indicate the following details

- i. Name and the description of the damaged/Unserviceable/ beyond economic repairs within it's defined service life, Book value etc. of the item/material which is to be retired from MSETCL as per the 'Asset Retirement Certificate' (Proforma – B)
- ii. Reason for proposing the materials/items for retirement.

- iii. Also, the "CLARC" will submit the report to ZSC (Zonal Scrapping Committee) for the asset falling under Category A and B and got burnt, burst or shown degraded technical parameters within its defined life for further course of action.
- iv. The ZSC shall consolidate the reports given by CLARC and with their views/observations/remarks shall submit to the corporate office Research and Development Committee in every quarter of financial year. The corporate office Research and Development Committee of following members
 - i) Director (Operations) - Chairman of Committee
 - ii) Chief Engineer (O&M)- Member conveyer of Committee
 - iii) Chief Engineer (Design)- Member
 - iv) Chief General Manager (Finance) – Member
 - v) SE (CPA) - MemberMust be formed to take corrective actions on the reports submitted by ZSC.
- v. While categorizing asset for retirement, proper consideration shall be made like life served by the equipment/machinery, its usage in any alternate area of work, obsolescence of technology, efficiency improvement and economy of repair and retention.

2.3.3 Once the asset is declared for retired form MSETCL by CLARC, the asset owner shall hand over the said asset and the retirement certificate immediately to Ex. Engineer (Store) to start the scrapping procedure as below.

3. Scrapping procedure and Disposal Policy

3.1 The Zonal Scrapping Committee (ZSC) of following members shall be comprised for approval of the scrap lot

- a) Chief Engineer CC O&M Zone- Chairman
- b) Superintending Engineer, Testing- Member
- c) AGM (F&A) - Member
- d) Executive Engineer (Store)-Conveyer of the Committee

3.2 All asset is to be scrapped and disposed-off by Executive Engineer (Store) of the respective Zone by duly following the scrapping procedure.

3.3 Once the asset and the asset retirement certificate is received by Ex. Engineer (Store) he shall follow the below procedure for scrapping and disposing the asset.

3.4 Procedure for Scrap Declaration and Disposal of asset shall be as below:

- (a) Scrutinizing in detail of the asset proposed for Scrap with reason for scrap declaration.
- (b) After finalizing the items from the proposed items, the Ex. Engineer (Store) will check the book value of all such items & will ensure its correctives as well. The Dy. Manager (Store) will be assisting all the activities executed by EE (Store). The role of Manager (F&A), a Member of CLARC will be vital in arriving the Book Value of the asset sold under Scrap.

(c) There may be situations wherein many items may not find their mentioning in the Asset register and for these items Finance Department will decide the asset value during the exercise of physical verification of Property, Plant and Equipment (PPE). However the O&M Section will finalize the guidelines for consideration of weight. For example, say a Cupboard may not find its mentioning in the Asset Register and its book value may not be readily available in the Finance department, then in that case the Zonal Level Committee will arrive at the rough book value by assessing the likely price at the time of purchase, depreciations thereof and the present book value.

Standardized policy for valuation method of high value assets would be finalized through a separate committee with Technical and Finance members.

d) After ensuring the correctness the Ex. Engineer (store) will prepare a consolidated scrapping list with the book value/ depreciated value and put in front of ZSC for in-principle approval of the scrap.

e) Once the in-principle approval is sought from ZSC, the Ex. Engineer (Store) will conduct the physical survey of the scrap material. Ex. Engineer (Store) will calculate the Reserve Price of the said scrapping lot based on last auctioned rate or latest metal scrap rates available on MSTC Site within the period of 07 days.

f) Making Lots and fixing realistic Reserve Price is key to successful scrap disposal proposal.

g) Once the recommendations about the Reserve Price and lot details are finalized by EE(Store), the ZSC will scrutinize the entire proposal and put up its final recommendation regarding Minimum Reserve Price (MRP) along with the % STA (subject to approval) and lot details to the Competent Authority as per G.O. No. 1 – (F&A) MSETCL. Variation in %STA should be approved by ZSC in case the lot remains unsold. The uniform standard guidelines shall be issued by Finance section of Corporate Office.

h) Finally the Lot will be put on for auctions on Open Tender basis by MSTC.

4.0 Methods of Disposals

4.1 The Chief Engineer (O&M), MSETCL in consultation with CLA shall be competent to sign "Selling Agency Agreement" with MSTC Limited (A Government of India Enterprise). MSTC is "Metal and Scrap Trading Corporation Limited" and is a Mini Ratna Category-1 PSU under the administrative control of the Ministry of Steel, Government of India. This Agreement will be valid for all Major Store/Divisions of the Company.

4.2 The disposal of all materials approved for disposal should normally be done through MSTC.

4.3 Once the item(s) has/have been proposed for disposal and tenders for their disposal invited, these shall not be withdrawn from disposal list without prior approval of Competent Authority.

4.4 The scraps like newspapers / old magazines / broken furniture/Any other Miscellaneous items whose scrap value is less than Rs. 5000/- (in normal assessment) in each case to be regularly disposed of by the Officer in Charge of the concerned offices. This activity

has to be done frequently so as to ensure neatness and cleanliness of the office premises at all time.

4.5 E-Auction Process through MSTC- After final approval of the proposal by Competent Authority, the Ex. Engineer (Store) will take initiative for holding the e-Auction with M/s M.S.T.C.

4.6 User ID and Password

At the time of Registration, MSTC provides a User ID and Password for all the Major Store/ Divisions. The email ID of the designated the Chief Engineer (O&M), MSETCL is the notified e-mail ID for all communication with MSTC takes place.

4.7 E-Auction Documentation

The list of different lots for disposal, along with details of all materials/items, specifications, their HSN No. and terms shall be sent by MSETCL to MSTC preferably by e-mail (followed by hardcopies) for faster preparation of e-Auction Catalogue and posting the "Lot details by MSTC on the e-Auction Website.

MSTC/dealing officer of the MSTC creates the auction and the MSETCL representative gets a communication containing the Auction No and its schedule on its registered email id. After the creation of the Auction within 2-3 days, the MSTC creates the Auction Catalogue. Auction catalogue contains all the information of Auction, i.e. Auction Terms and Conditions, material description, quantity of the Materials etc.

Now it is MSETCL authorized representative's i.e. Ex. Engineer (Store) responsibility to check the Catalogue and inform the dealing officer of MSTC about the requirement of immediate corrections if any in the aforesaid catalogue which gets noticed. Once all the rectifications gets done from MSTC side, MSETCL representative has to enter the Minimum Reserve Price(MRP) & % STA as approved by the Competent Authority in the Portal of MSTC.

The Minimum Reserve Price (MRP) & % STA of any Scrap material/item is a confidential as well as an important matter hence proper care and attention should be paid while making entries in the portal of MSTC.

4.8 Standard auction procedures through MSTC portals and alignment of MSETCL with the procedure.

MSTC Limited (A Govt. of India Enterprise) e-Auction website and its methodology is one of the best and most transparent platform available for auctioning the scraps. As per the methodology adopted by MSTC, after completion of auction, lot goes in any of the 4 states as described below.

1. No Bid: This happens when there is No Bid against the Lot.
2. Accepted (Sold): There is a Bid and the Bid of Buyer is above or equal to the Min. Reserve Price entered by MSETCL. This means Lot goes in accepted state automatically.

3. Rejected (Not sold): There is a Bid but the Bid of the Buyer is less than the Min. Reserve Price Entered by MSETCL. This means Lot goes in Rejected state which can't be sold and MSETCL has to go for re-auction to sell the same.
4. STA (Subject to Approval): MSTC has a very useful and practical tool under STA mode. Under this tool, if MSETCL enters any value in the field "% of Reserve Price for STA", then up to that value (%), Lot will not be rejected and it will go to STA (Subject to approval) mode.

Here MSETCL has the option to evaluate the Bid and accept Lots on STA from their Login by choosing option "Approval (STA)". For example, if MSETCL has put the Reserve Price as Rs. 50,000/- and chose "% of Reserve Price for STA" as 10%, if by chance the Highest Bid received in the Bid is not Rs. 50,000/- or above but it is above Rs. 45000/- (10% of Rs.50,000/- is Rs.5000/- and Rs.50000/- Less Rs.5000/- is Rs.45000), then the Auction Lot is not rejected rather it goes in STA mode which can be accepted by MSETCL later. For clarity, it is to emphasize that % STA of Reserve Price means that MSETCL may reconsider less than the Min. Reserve Price but up to STA% of Min. Reserve Price entered by it. As another example say the Reserve Price is Rs. 10,000/- and MSETCL has entered STA% as 40%. It means, MSETCL may consider upto Rs.6000/- Bid subsequently.

4.9 Reserve Price and STA% entry

Minimum Reserve Price must be entered before scheduled e-Auction date and time by the Ex. Engineer (Store) as per the details below.

- a) Min. Reserve Price: Ex. Engineer (Store) is required to enter the "Min. Reserve Price along with % STA values of each lot in the system, through password security system, at least two Working days prior to the commencement date of e-auction bidding. The system will retain the Min. Reserve Price and %STA for comparing the bids internally during live auction, but it will not be displayed or accessed by anyone. Upon closing of E-Auction, the system will readily ascertain whether H1 bid is equal to or above the Min. Reserve Price value and confirm sale order against the particular bid and post it automatically.
- b) Lower limit for acceptance of H-1 bid, below reserve price: Ex. Engineer (Store) is also required to feed a lower limit in the system (as per the approval of the Competent Authority), for acceptance of H-1 bid (below reserve price) on "Subject to Approval (STA) basis in the event of not receiving any bid value more than the Minimum Reserve Price. However, the bids below the said lower limit will be rejected. Upon closing of the E-Auction, the bids crossing the specified lower limit will be registered as "bids on STA basis in the system. These bids will be blocked for a limited specified period, before expiry to which sale order is to be confirmed on highest bid.
- c) Competent Authority, approving Min. Reserve Price, will also be authorized to approve the STA% i.e. the lower limit for acceptance of bids, in the system.
- d) Keeping of various scrap/unserviceable materials items for a longer duration is a costly affair due to the resources required for its safe storage, watch and ward and accounting. Further whereas the overall objective of MSETCL is to get the maximum possible salvage values out of Scraps but it is to be well appreciated that there is no point in wasting substantial manpower, time and efforts for some extra incremental Scrap value. MSTC (A Govt. of India Enterprise) e-Auction platform is one of the widely used and transparent

Platform and most of the dealers engaged in Scraps Business participate here during Auctions.

Thus the Highest Bids quoted here against any Lot is generally the representation of the prevailing Market Price of that Scrap Lot and general approach of the ZSC should be to ensure successful Auction process and thus it is felt that depending upon the case to case basis, a range from 0% to 50% be recommended by ZSC under STA provision in addition to the Min. Reserve Price while finalizing their recommendations to the Competent Authority.

- e) All bids will be deemed to be for materials on "As is where basis and subject to prior inspection by the bidders. Being the security reasons of the campus no photography of the lot by the outsider/Bidders shall be permitted. Once the bidding starts, the H-1 bid at any point of time will always be displayed on the screen, without showing the name of the H-1 bidder. Any time during e-auction, the bidders as well as the dealing officials of MSETCL can see the bid history of the last 10 bids. Immediately after closing of e- auction, the bidders as well as MSETCL representative can see the result online on the website, which will show details of lots won by them on "confirmed or "STA basis.

4.10 Duration of E-bidding

"E-bidding is generally held initially for four hours, with a provision for auto extension of closing time by 8 minutes every time the last H-1 bid is received within 8 minutes of the Predetermined or extended closing time. There are many Auction Terms Descriptions on MSTC Website which has to be well familiarized with.

- A. Multiple Bid Revision-As per this Bidders can go on revising their Bids depending on the Bid submitted by other bidders. There will be no restrictions on the number of such bids /revisions till the e-Auctions closes. No down ward revisions or cancellation of Bid already made is possible.
- B. Auto Bid facility for Bidder- The Bidders have the option to make each bid or each Bid improvement manually for each item/Lot or he can choose the "Auto Bid" mode to give "Standing Instructions" to go on increasing his Bid by a specified incremental value and up to the specified limits. For Auto Bid, bidder has to choose incremental value and the highest Bid. Till the highest bid, System will bid on Buyer's behalf in the increments of the incremental value chosen by the Buyer.
- C. Auto Extension of Closing Time- The e- Auction closing time will be automatically extended by 8 minutes every time the last H-1 Bid is received within 8 minutes of the pre-determined or extended closing time. This process will continue till the last H-1 Bid remains period of 8 (Eight) minutes so as to give ample opportunity to all Bidders and to generate the best competition. For example, if the closing time is 3 PM and the last H-1 Bid is received at 2.59 PM, then the closing time will be automatically extended up to 3.07 PM and so on.

4.11 Monitoring /witnessing of E-auction by MSETCL

The dealing officer i.e. the Ex. Engineer (Store) shall witness & monitor the "live e-auction process. He shall also download "bid history of last 10 bids for all lots and the "complete Bid Sheets (with names of the H-1 bidders and the status as to whether Sold/STA Rejected etc.) from the website, on completion of the "live e-auction process.

5.0 Issue of Sale Order, Delivery Order, Delivery etc.

- i. For the cases where H-1 bids are equal to or more than the reserve price "Sale Intimation Letter will be generated automatically in the system and will be issued by MSTC to the H-1 bidders for each lot, requesting to deposit 10% Security Deposit/FMD as per the auction's terms and conditions within 7 (seven) days from the date of auction Nos. of days varies from auction to auction as decided by MSETCL. This automated intimation letter will also come to the registered email id of MSETCL.
- ii. For the cases where H-1 bid is less than the reserve price but above STA% entered by MSETCL, MSTC system will automatically issue the "Provisional Sale Intimation Letter to H-1 Bidder subject to approval of MSETCL. Once again can review the overall situation and recommend the final decision to the Competent Authority.
- iii. Only after final approval by the Competent Authority, the Ex. Engineer (Store) shall convey the online confirmation of the approval to MSTC at the earliest, the time for which should not exceed more than 7 (seven) working days. If the decision is in affirmative, MSTC will ask the H1 Bidder to deposit 10% Security Deposit /EMD within 7 days from the date of approval. It is to be noted that it is the responsibility of MSETCL to communicate their Final approval Rejection of the H-1 Bids within 7 days of closing of Auction by posting it online from their login and hence the decision has to be quick.
- iv. On receipt of Security Deposit from the bidder, sale order/Acceptance letter is issued by MSTC requesting the Buyer to submit the balance sale value with applicable duties / taxes within 15 & 40 days as per the Net Sale Value 50 Lakhs & above Rs.50 Lakhs respectively. The Security Deposit paid by H-1 Bidder is retained by MSTC which will be refunded to the MSETCL on completion of the contract and receipt of from MSETCL within 15 days.
- v. Sale Order-Signed Sale order / Acceptance letter is issued by the MSTC to Successful H-1 Bidder only on receipt of the Security Deposit advising him to submit the balance sale Value with the applicable duties & Taxes within the stipulated time. This signed Sale Order /Acceptance Letter constitutes the Contract. At this juncture, MSETCL has to initiate close coordination with the successful Agency for early disposal.
- vi. Delivery Order-Successful Buyer can make the Payment at any of nearest Regional /Branch office of MSTC throughout the Country. After getting the payment of full sale value from the buyer, delivery order will be issued by MSTC. Payments will be forwarded by MSTC to MSETCL without deduction of their Service Charges. MSETCL will allow delivery of material to the buyer only after receipt of payment, of full sale value including with the applicable GST and within the prescribed period, against production of Photo-ID-Card issued by MSTC (containing buyer's photograph and specimen signature). Alternatively, Photo-ID-Card holder can authorize his representative along with the Photo-ID-Card (or a Notarized copy of the same) to take delivery of materials. The lifting period shall be 30 days from the date of issue of Delivery Order. The Ground Rent shall be chargeable per week @1.0% of material value and part thereof for a maximum period of two weeks.
- vii. Immediately on receipt of the copy of Sale/Acceptance Order & thereafter Delivery Order issued by the MSTC, Concerned Executive Engineer of the Store/Division shall verify the 100% payment of the auction amount deposited in the Account of the concerned CGM/AGM (F&A) by the Successful Bidder to generate Delivery Callan, GST Invoice & Gate Pass for the purpose of regularization and also for facilitating future activities like

- accounting of sale proceeds, delivery of materials etc. The CGM/AGM (F&A) shall confirm receipt of payment through RTGS in writing within two days to E.E. (Stores)/Division.
- viii. The concerned Executive Engineer of the Store/Division has to fully Support the successful bidders for smooth lifting of all Scrap Materials like Security Clearance of site, facilitating deployment of trucks, entry of their authorized personnel etc.

6.0 Disposal in case of no bid/rejection of bid/no EMD in the above process-

6.1 Under clause 4.0/5.0, the entire process of e- Auction has been brought out. However, there may be situations when the final objective is not met due to either of the following possible reasons.

- A) There was no Bid against the Lot.
- B) There was Bid but it was less than the STA% and thus Auction got rejected.
- C) There was successful Auction but the H-1 Bidder did not submit the EMD to MSTC.

6.2 Although the probability of getting success in Disposing off the Scrap through the elaborate methodology as explained in Chapter 4.0 is quite high, however in rare situation we may be facing a case when there was no bid against the Auction or a particular lot. The issue has to be critically analyzed by the SDD Committee.

In fact once the Auction is created on the web portal of MSTC, the interested Scrap dealers start visiting the MSETCL establishments for physically inspecting the Scraps, their conditions and their locations. It is necessary that they are facilitated smoothly to inspect the locations where the scraps are piled up. It is also wise to get their names and contact numbers captured for further reference.

All the critical analysis are required to be considered by the Zonal Scrapping Committee regarding the conditions of the Scrape/unserviceable, its locations, loading/unloading transportation & other practical issues related with the items prior to fixation of MRP & STA for the e-Auction. Depending upon the aforesaid conditions the Zonal Scrapping will recommend to the Competent Authority about the new proposal and strategy including shifting the Lot from Category A-D to Category E.

6.3 For the cases where there was Bid but it was less than even the STA % opted by MSETCL. Here also the reasons can be as explained as in para 6.2 above. MSTC Platform is one of the most happening Scrap disposal platforms in India and almost all Scrap dealers are active on it. The Auction procedure by MSTC (A Government of India Enterprise) is most transparent and thus the Highest Bid received is generally reflection of Market derived actual scrap value. Thus the Zonal Scrapping Committee will analyse the proposal and increase the STA % and if situation warrants, Committee may even go for 100% STA which means the H-1 Bidder will be selected and there will be no Reserve Price. The whole objective is to get rid of the Scrap and make free the occupied purposes, Hygiene Factor and keeping in mind that meagre income from the Scrap is not for increasing the Bottom Line of the Company.

6.4 If H-1 Bidder fails to Pay EMD then MSTC takes very stern action. The password or the defaulting H-1 Party will be automatically de activated and he will be debarred from participating in the e-auction of MSTC. Re-activation of Party's password may be allowed

only on payment of penal re-charges to MSTC, Subject to examination of nature or Party's default under this backdrop. The probability of the H-1 bidder not submitting the EMD is Very Low, now ever in rare cases if such situation happens then the Zonal Scrapping committee may recommend for re-Auction through MSTC.

7.0 Disposal of used Lead Acid Batteries

The used lead acid batteries are to be disposed only through depositing with the dealer/ manufacturer/ importer/ assembler/ registered recycler/ re-conditioner of the lead acid batteries or at the designated collection centers of used batteries.

Disposal as per normal procedure should be done through MSTC only and a separate lot under Hazardous waste will be made and then only the registered recyclers from pollution Boards can only bid. Field offices will ensure the implementation of scrapping procedure aligning with safety and environmental considerations. All other procedures will be same as for the General Lot. The ZSC should be considerate enough to keep high STA% so that there is success in the first attempt itself.

8.0 Disposal of Information Technology equipment's to employees.

The IT equipment's viz. Desktop PCs, Laptops, printers, Scanners, Multifunction Devices etc. can be disposed as per the following procedures.

1. For optimum utilization and adoption of latest versions of such IT equipment in office, the operating lifespan of all such equipment like Desk Top Computers, laptops, printers, scanners shall be as per MERC regulation which is 5 years at present.
2. The depreciation life span shall be taken as per the MERC regulation amended time to time.
3. Thus after the completion of defined life from the date of entry in the asset register/ Capitalization in the books of finance, then the proposal for disposal of such equipment shall be initiated by IT department. Based on IT department's record and observations that if such PCs and IT equipment are still suitable for use then such IT equipment may be donated free of cost to Government Educational Institutes/Schools under CSR by obtaining approval from Competent Authority. The Government Educational Institutes/Schools shall be contacted and identified by CIRO.
4. Even after adopting above procedure, still IT equipment s remains available for scrapping then following procedure to be followed.
5. The proposal will be submitted by SCIT to obtain approval from Competent Authority for the same. The proposal shall be put up before the Scrapping Committee (IT) (SCIT) of following members
 - i) Chief General Manager (IT)- Chairman
 - ii) Ex. Engineer (Admin) of Zone office- Member
 - iii) AGM (HR) Zone office- Member
 - iv) IT (Analyst) Zone office- Conveyer of the Committee

Where the case will be scrutinized & shall be forwarded to the Competent Authority as per G.O.1 (F&A) for approval. Once the proposal is administratively approved by the Competent Authority, then it will be the first step towards the disposal. The disposal shall

be initiated by Ex. Engineer (Store) for their disposal through MSTC as per the auction process of MSETCL.

9.0 De-capitalization of Scrapped Item from the Asset Register

After successful process of Scrap disposal EE(Store) will intimate to asset owner about item wise scrap cost as elaborated in above paras, finance department will de-capitalize the items from the Asset Register and do the proper accounting in P&L. In case it is felt that there is substantial item in the lot(s) which were not in the Asset Register and because of which proper de-capitalization figure cannot be ascertained against items which were in the asset register then lots shall be suitably made by segregating all such items.



Director (Operations)

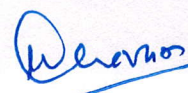
General guidelines for effective implementation of Asset retirement, Scrap Declaration and Disposal Policy in MSETCL

- 1) The material/equipment replaced under LE scheme or due to failure and approved by CLARC should be immediately credited with retirement certificate to the respective Major Store or the suitable location identified by EE, Store for scrapping **except ICT/Power Transformer**. Scrapping proposal should be prepared by EE store and submitted to competent Authority for approval.
- 2) It should be mentioned in every Work Order of the work executing agency that the removed material/equipment is to be moved from site to respective Major Store or the space identified by EE (Store) immediately without fail.
- 3) The additional security guard /CCTV should be provided at every Major Store or the space identified by EE (Store), if required.
- 4) After receipt of approval from competent Authority, the scrapping material/equipment should be auctioned in every quarter of the financial year by the respective Major Store (i.e. 4 times in a year).
- 5) If the space is not available at Major store, then the suitable space shall be identified by EE (Store) from any nearby substation for storing scrap material.
- 6) Once the material with the retirement certificate is given to EE store all other process of approval till disposal will be completed by EE store.
- 7) After auction the auctioned amount of scrap material of respective division is to be intimated by EE store to Division office for equipment write off from asset book.
- 8) In future during the execution of policy if any revision is required for smooth implementation of policy an amendment shall be carried out regarding the same.

Advantages of this Procedure

- 1) The probability of theft will be reduced as all the scrapping material/equipment of respective Zone will be accumulated at one place and not scattered all over the Zone.
- 2) A single stock register will be maintained of all the scrapping material/equipment in the Zone by the respective Major Store.
- 3) The process of scrapping material/equipment will become smooth, fast and simple.
- 4) Administrative Approval process will become directional and fast.
- 5) Timely revenue generation to MSETCL due to disposal of scrap.
- 6) Unnecessary inventory accumulation will be avoided.
- 7) It will keep substation premises more aesthetic as no scrap will remain scattered in substation premises.

The above scrapping policy is formulated and submitted for approval and recommendations of Competent Authority.



Director (Operations)

Proforma ' A '

Equipment/Material /Asset ASSESSMENT CERTIFICATE

Sr.no.	Particulars	Details
1	Asset Number/Material as per assets Register	
2	Equipement Number as per MM Module	
3	Descrption of the Asset/Material	
4	Profit Center	
5	Cost Center	
6	Plant Location (substation/Line Sub Division/ Zone/ Circle/Division)	
7	Date of Purchase.	
8	Date of manufacturing	
9	No of Year service rendered by Assets/Material	
10	Date of expected retirement	
11	Nature of Assets/Material (Capital/R&M/Inventory/Other)	
12	Purchase value.	
13	Depreciated value.	
14	Physical condition of the asset	
	i) Healthy/rusted	
	ii) partially damaged	
	iii) Mechanically deformed	
15	Technical condition of asset	
	i) Technical parameters within limits (yes/no)	
	ii) Whether techonolgy obsolete (yes/no)	
16	Specific reasons for keeping Asset/Equipment in service beyond its defined service life	

Committee member (Testing)

Committee member (Finance)

Asset Owner

* duly signed and audited by above authorites

Proforma 'B'

Equipment/Material /Asset RETIREMENT CERTIFICATE

Sr.no.	Particulars	Details
1	Asset Number/Material as per assets Register	
2	Equipement Number as per MM Module	
3	Descrption of the Asset/Material	
4	Profit Center	
5	Cost Center	
6	Plant Location (substation/Line Sub Division/ Zone/ Circle/Division)	
7	Date of Purchase.	
8	Date of Removal	
9	No of Year service rendered by Assets/Material	
10	Whether Asset removed before / after useful life.	
11	Nature of Assets/Material (Capital/R&M/Inventory/Other)	
12	Document Number for Assets Removal Entry and Date	
13	Quantity and Unit of Measurement(EA,Lot,Kms,Kg,MT etc.)	
14	Purchase value.	
15	Depreciated value.	
16	How long not in use after removal from Asset Master.	
17	Whether proposed to dispose off as,	
	i) Second hand.	
	ii) Scrap and whether	
	by auction.	
	by destruction.	
18	Whether the material is deteriorated for want of adequate storing.	
19	Approximate estimated life of the Material/Asset	
20	Specific reasons if material/Asset become unserviceable before the expiry of the estimated life and whether it can be repaired at reasonable cost.	

Committee member (Testing)

Committee member (Finance)

Asset Owner

Chairman of CLARC

* duly signed and audited by above authorities